

PART ONE

THE GEX FRAMEWORK

What gamma exposure is, how dealer hedging actually moves NQ and ES, and how to use GEX as a regime filter, so you know whether the day wants to trend or chop before it starts.

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The Ethos mentorship

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What an option actually is

An option is a contract. It gives you the right, but not the obligation, to buy or sell an asset at a set price (the strike) by a set date (the expiration). That one idea, the right without the obligation, is what makes the whole market behave the way it does.

THE APPLE FARMER

It is winter. Apples are coming in summer, so the harvest equipment will be in higher demand and cost more, say 300 now and 800 later. So you pay the seller 100 today, a premium, to reserve today's price for the summer. If it is worth more later, you buy at the reserved price and you are up. If not, you walk away. Your only loss is the premium, and the seller keeps it either way. That is an option.

One language note that trips up orderflow traders: in options, a long is a call and a short is a put. Same idea as futures, just wrapped in a contract. Every one of those contracts has to be hedged by a dealer, and that hedging is what reaches across into NQ and ES.

CALL = LONG

The right to buy at the strike. You profit if price rises.

PUT = SHORT

The right to sell at the strike. You profit if price falls.



What really moves NQ and ES

The real engine behind ES and NQ is options flow. Options flow is the stream of options trades that creates hedging pressure in the futures market, pressure dealers must respond to in real time. Most of that flow feeds straight back into the futures you trade.

NQ and ES are derivatives.

Derivative comes from the word derive: they come from something else. Think of universities. There is no single university, but they all teach from the same curriculum handed down by the board. Price works the same way. The QQQ options complex is the origin point that NQ derives from, and SPY is the origin for ES. So when you read QQQ options, you are reading the source that moves NQ.

QQQ

the options origin

NQ

derives from QQQ

ES

derives from SPY

This is why reading the futures chart alone leaves you blind to half the picture. The order that moved your candle often started in the options market.



Dealer hedging, in plain English

Market makers are the dealers. They move the market with billions, and they do not want directional risk. They want to stay delta-neutral. So they take the opposite side of almost every options trade and hedge it instantly.

A trader buys a call	→	dealer sells a call
A trader buys a put	→	dealer sells a put
A trader sells a call	→	dealer buys a call
A trader sells a put	→	dealer buys a put

So dealers inherit the opposite risk of the trader, but they do not want it. They hedge it away instantly because they have so much capital to protect. This hedging is mechanical, automatic and constant, run by algorithms, not human discretion.

Dealer hedging is a force, and it is not optional. It leaves a footprint in the futures every single session. The rest of GEX is just measuring how big that force is and which way it pushes.



Long gamma vs short gamma

GEX measures the dollar value of futures dealers must buy or sell to stay delta-neutral for a given move in price. The sign of that number is everything.

LONG GAMMA

Positive GEX, stabilising

- Volatility gets suppressed
- Price pins near big strikes
- Ranges and mean reversion

RANGE

SHORT GAMMA

Negative GEX, amplifying

- Volatility expands
- Breakouts run, levels break
- Trends and momentum

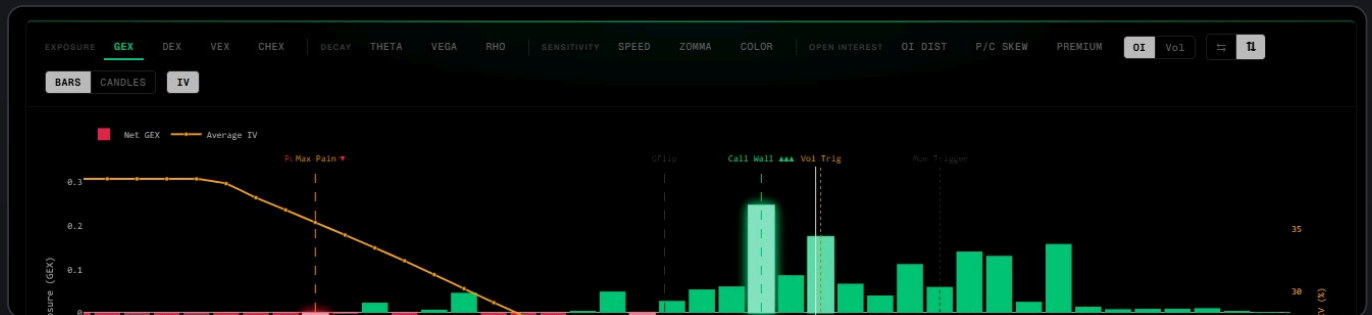
TREND

When dealers are short gamma, a move forces them to trade in the same direction as price: they buy higher and sell lower. That feedback loop, lower prices triggering more dealer selling, is why the sharpest trend days happen in negative gamma.



The gamma flip

One price matters more than any other: the level where net dealer gamma crosses from positive to negative. It is called the zero gamma level, or the gamma flip, and it is the most useful line on the whole GEX map.



Net GEX by strike. Red bars are negative gamma (amplifying), green bars are positive (stabilising). The gamma flip is where they cross; the call wall and max pain are marked too.

Above the flip, dealers are net long gamma, so the regime is stabilising: expect range and mean reversion. Below the flip, dealers are net short gamma, so it is amplifying: expect trends and expansion. Crossing the flip intraday is a regime change, and one of the highest-value events you can watch for.



Why this matters for you

Once you see hedging as a force, price behaviour that looked random starts to make sense. Dealer gamma is why:



Price reverses with no news

You have all seen price rip into a level and reverse with zero news behind it. That is not random, it is dealer hedging defending a strike. Once you know the regime you stop getting trapped by these.



Breakouts fail at certain strikes

In long gamma dealers fade strength, so a breakout into heavy positioning gets absorbed and snapped back. If you are buying that breakout blind, you are walking straight into their hedging.



Trend days happen below the gamma flip

Below the flip dealers are short gamma and have to chase, buying higher and selling lower. That is the fuel behind the big one-way days where every pullback just gets bought.



Range days happen above the gamma flip

Above the flip dealers are long gamma and suppress every move, so price chops and mean reverts. Trying to run breakouts up here just bleeds the account.



ODTE can control the whole session

ODTE is now a huge chunk of the flow, and because it expires today it carries the entire session. That is exactly why you read QQQ at ODTE, not a contract expiring next month.

It always comes back to this: how much hedging pressure are dealers under, and in which direction. Answer that and you know the kind of day to expect, more reliably than staring at the VIX.



Regimes, the real mistake

A market regime is a persistent structural environment in which price behaves. It is not just volatility being high or low. It is the statistical character of orderflow, liquidity and participation over a stretch of time. You have probably trained your eye to one regime without realising it.

Most traders build a strategy that works in ONE regime, then trade it in ALL of them.

When the regime shifts, they say my edge stopped working. It did not. The environment changed. The fix is not a new strategy, it is knowing which regime you are in and only running the layer of your edge built for it. That is why a serious strategy has layers: setups for trend days, and different setups for chop.

TREND LAYER

high R, continuation, breakouts

CHOP LAYER

scalps, failed auctions, fades



GEX as a regime filter

GEX is shorthand for how the market is positioned in gamma and what that implies for hedging. Read as a regime, it tells you the day type before the open.

SHORT / NEG GAMMA

Trend day

- Higher R, target the expansion
- Continuation and breakouts
- Fewer trades, let it run

TREND

LONG / POS GAMMA

Chop day

- Smaller R, scalp rotations
- Failed auctions and fades
- Skip the breakout chases

CHOP

GEX does not tell you exactly where to enter. It tells you how the day will move, so you pick the right kind of setup and target. Context first, then confirmation, then execution.



What GEX answers

GEX is not a signal, it is a behavior filter. It will never tell you to buy or sell. It tells you how the day is wired to move, so you stop forcing the wrong style onto the wrong session.

QUESTION ONE

Is hedging dampening moves or amplifying them?
Long gamma dampens and stabilises, short gamma amplifies and destabilises. This is the single most important read of the day.

QUESTION TWO

Where are the strike walls that matter today? The levels where hedging clusters, the call wall, the put wall and the gamma flip, are the lines price actually reacts to.

Use GEX as a behavior filter. In stabilising regimes expect more pinning and mean reversion. In destabilising regimes expect more trend and fast traverses straight through levels.

Before the open, answer both questions for the session: are dealers calming the tape down or speeding it up, and which strikes are they defending. That is your entire game plan in two lines, and it decides every setup you take that day.



Pinning and gamma squeezes

Two behaviors fall straight out of the regime, and naming them is half the battle. One quietly kills trends, the other creates the violent ones.

PINNING – STRIKE GRAVITY

Spot spends time near a strike into expiration. Near the money gamma is highest, so when hedging is stabilising, price gets pulled into rotations around the strike. The auction has a local attractor because hedging dampens every breakout attempt.

GAMMA SQUEEZE – CONVEXITY

A move where dealer hedging reinforces direction. Price pushes through a major strike, hedging demand increases with the move, and it accelerates on thin liquidity and hedge chasing. It can happen both up and down.

Many sessions are simply range days because hedging pressure punishes extension. When the dominant flow is selling into upticks and buying into downticks, realised volatility compresses and the market rotates instead of trending.

Pinning looks like rotations that keep failing at a strike. A squeeze looks like that same strike breaking on aggression and then accelerating away. Same level, opposite behavior, and the regime is what tells you which one to expect.



The key levels

Within a regime, a few strikes do most of the work. Treat them as context, never as guarantees.



The GEX levels on price: call walls above (resistance), put walls below (support), the gamma flip in the middle, and max pain at the bottom.

CALL WALL Largest call gamma above. Resistance as dealers sell into it.

PUT WALL Largest put gamma below. Support as dealers buy into it.

MAX PAIN Strike where option value is lowest. Price often drifts toward it into expiry.

In long gamma the walls are hard boundaries, so fading toward them works. In short gamma the same walls break easily, so trade the breakout through them.



Where to anchor GEX

You do not apply GEX everywhere. You anchor it to the places where positioning is real and hedging actually concentrates.

Major strikes

round numbers price respects

High open interest

where the contracts pile up

Front expiry & 0DTE

the flow that drives today

Into known events

CPI, FOMC, earnings

PRICE APPROACHES A KEY STRIKE FROM BELOW

Ask: does it reject (pin and chop) or accept (break and squeeze)? The regime tells you which is the more likely outcome.

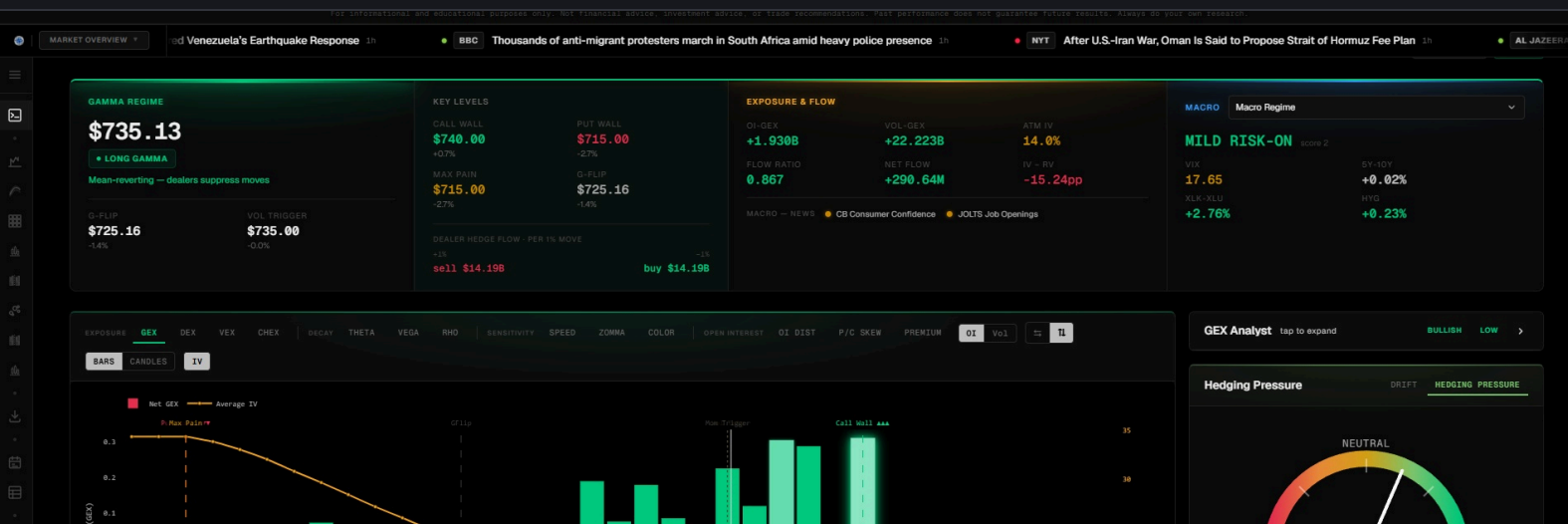
PRICE IS ALREADY AT THE STRIKE

Ask: do the rotations stay contained, or does it start trending away? That answer is your read for the next move.



Reading it live in GEXRADAR

Use ODTE, the options expiring today, because you are intraday, and pull QQQ since it is the derivative of NQ. The terminal reads the gamma regime, the key levels and the hedging pressure for you.



A long gamma read in GEXRADAR: the regime is mean-reverting and dealers suppress moves, so expect chop and rotations. The gamma regime, the key levels, the flip and the hedging-pressure gauge are all on one screen.

In a short gamma read the same panel flips: the regime shows dealers amplifying instead of suppressing, the hedging-pressure gauge leans hard one way, and you switch from fading rotations to trading the trend and the breakout through the level.

Where gamma lives: strikes

Gamma is not spread evenly. It clusters at strikes, and the closer a strike is to price, the more sensitive it is. That is where hedging pressure concentrates.

ATM

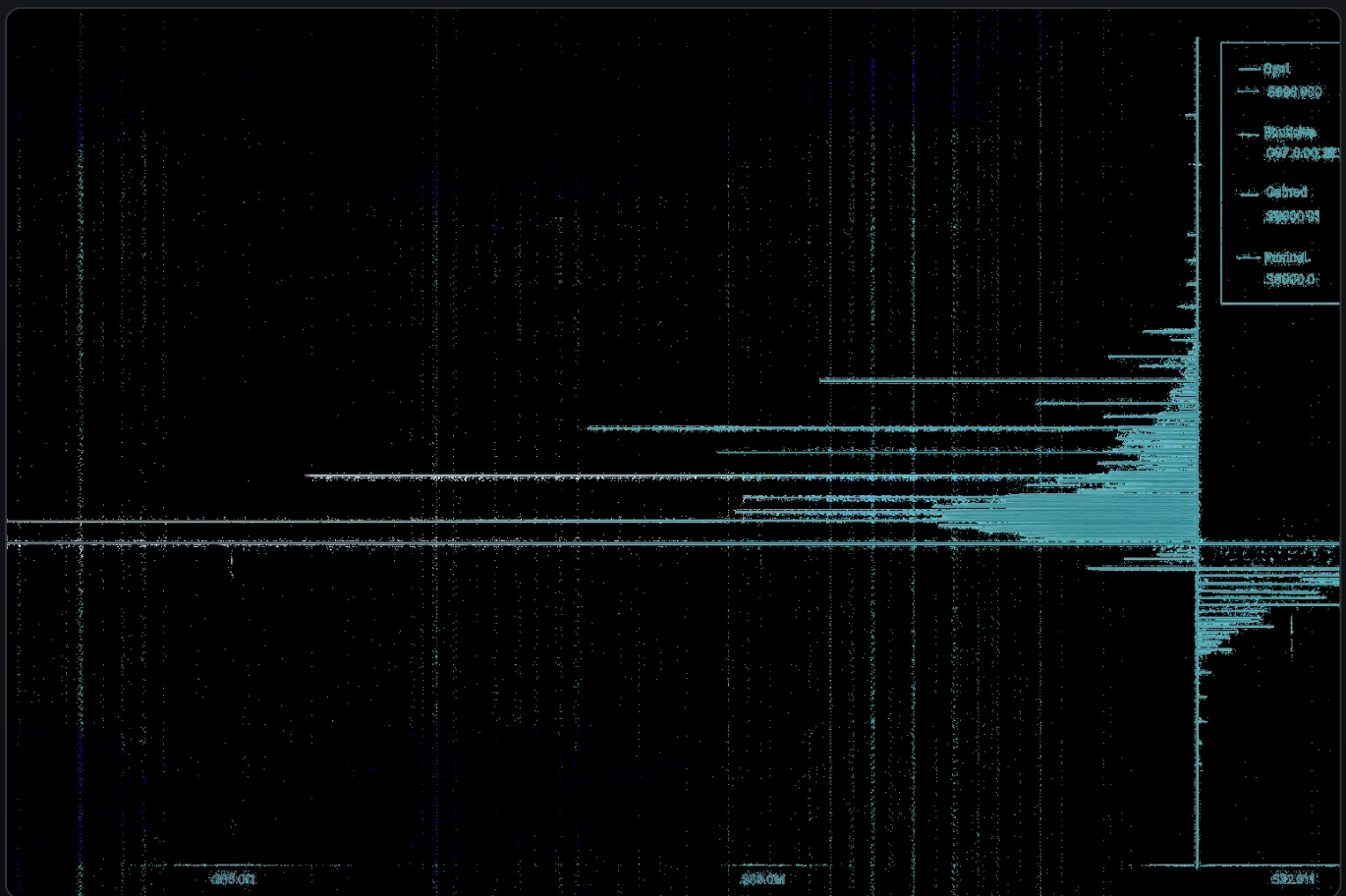
Strike near price. Highest gamma, most reactive to movement.

OTM

Cheaper. Can create large gamma shifts if price approaches.

ITM

Behaves more like the stock.
Lower gamma, more delta-heavy.



Gamma stacked by strike. The biggest concentrations are where hedging pressure clusters, and where price tends to react.

Gamma concentrates near the money, and hedging intensity rises as time-to-expiry compresses. That is why ODTE near the big strikes is where the strongest pinning and squeezes happen.

Vanna and charm

Gamma is the headline, but two slower forces explain the drift you see with no news. You do not need to calculate them, just know they exist and which way they push.

VANNA

Delta's sensitivity to implied volatility. When IV falls, dealers must buy to re-hedge. That is the engine behind the steady grind higher after a VIX drop, the vol-compression rally.

CHARM

Delta's decay as time passes. Into expiry it quietly pulls price toward the biggest open-interest strikes. It is a big part of why quiet days melt up toward max pain and the call wall.

Put it together: a calm tape with IV drifting down into a large expiration gives dealers two reasons to keep buying. That is why low-volatility regimes grind higher and drift toward the high open-interest strikes.



Confirming with orderflow

This is the part most options-flow content skips, and it is the whole edge. GEX gives you context. Orderflow gives you the trigger. Never trade a GEX level on assumption alone.



In long gamma, confirm the fade

Price drifts up into the call wall or an extreme. Before you fade it, watch the DOM and the footprint for absorption and real selling aggression. The dealer flow is on your side here, but the tape has to confirm someone is actually defending that level.



In short gamma, confirm the break

Levels break easily in negative gamma, so do not sit there fading them. Wait for aggression and refills pushing through the level, then trade the continuation. Fading a trend day is how you give it all back.



Use GEX to size and target

Short gamma earns the higher R and the wider targets because dealers are amplifying the move. Long gamma is smaller R and faster exits. Same setup, the regime tells you how hard to press and how far to actually target.

Context first (the regime), confirmation second (orderflow at the level), execution last. Run it in that order every session and you stop guessing.



Your session checklist



Read the regime first

Before you look at a single setup, pull QQQ ODTE and read the gamma regime and where the flip sits. That one read frames the whole session.



Above or below the flip

Above the flip is range and mean reversion. Below it is trend and expansion. If you remember one line from this guide, make it this one.



Short gamma, trade the trend

Higher R, continuation and breakout setups, target the expansion and take fewer trades. On a day like this you can take one trade and ride the entire move.



Long gamma, trade the chop

Smaller R, fade the extremes back toward the walls, scalp the rotations and skip the breakout chases. This is where the scalp layer of the model earns its keep.



Confirm with orderflow

Never act on a GEX level on its own. Confirm with the DOM and the footprint first. GEX is the context, the tape is the trigger.



Re-check after big moves

A large impulse can flip the regime mid-session. After a big expansion the read often turns long gamma, so update before the next trade.



Common mistakes

The traders who lose money with GEX almost always make one of these. Avoid them and you are ahead of most of the crowd moving into options flow.



Trading GEX levels blindly

This is the big one. So many orderflow traders move into options flow and start trading the pinning and call/put levels like they are gospel. They are not, they are heavily assumption based. Use them as context, then confirm with the DOM and the footprint.



Ignoring the regime

Run your trend model on a long gamma chop day, or scalp fades on a short gamma trend day, and even a good setup bleeds you. The regime decides which layer of your edge is even allowed to trade.



Treating pinning as a guarantee

A pin is a tendency, not a promise. Time of day matters, the open is not the midday is not the close, and one event can break the whole thing. Never size like a pin is certain.



Not updating after an impulse

Gamma is not static intraday. After a big expansion the read can flip from short to long gamma, so re-read it before the next trade or you are trading the old environment.



Using long-dated options

You are an intraday trader, so read 0DTE. Contracts expiring in weeks or months are not what is controlling today's session, and reading them just gives you the wrong picture.

Every one of these is the same error: treating GEX as a signal instead of context. Keep it as context, confirm with the tape, and you sidestep all five.





Now trade the regime.

You now know how to read the day before it starts. Inside Ethos you learn the KG models that actually trade these regimes, with live trading three times a week.



Read the regime before the open

Above the flip is chop, below the flip is trend.



Match the setup to the regime

Short gamma trade the trend, long gamma trade the chop.



Confirm every level with orderflow

GEX is context, the tape is the trigger.

START THE FREE 7 DAY TRIAL →



GEXRADAR

THE TERMINAL I USE

Everything in this guide, the gamma regime, the key levels, the flip and the hedging-pressure gauge, is read live in GEXRADAR. It is the cleanest GEX terminal I have found, and the one in every screenshot here.

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